QASHIVO

MANAGED CREDIT CONTROL
JOINT VENTURE BUSINESS PLAN

AI-Powered Credit Control with Human Oversight

April 2026

Nexus KPI Limited

CONFIDENTIAL

Contents

1. Executive summary
2. The proposition
3. Three-tier service model
4. Operating model
5. Capacity and staffing
6. Pricing strategy
7. Financial projections
8. AI operational costs at scale
9. Comparison: human workforce vs JV managed service
10. JV structure
11. Target client profile
12. Distribution: accounting firm channel
13. Competitive advantage
14. Risk and mitigation
15. Strategic value to Qashivo

1. Executive summary

This business plan outlines a 50/50 joint venture to deliver managed credit control services to UK SMEs, powered by Qashivo's AI technology platform and operated from South Africa at approximately 25% of equivalent UK staffing costs.

The service combines three elements that no competitor offers together: AI-generated debtor communications with full conversation context, human oversight for quality assurance and exception handling, and percentage-based debt recovery capped at £299 for cases that exhaust the collections process. The client receives an end-to-end credit control operation for a predictable monthly fee.

At 35 clients with an average of 200 debtors each, the JV generates annual revenue of £683,400, annual profit of £519,120, and operates at 76% gross margin. Breakeven is achieved at 8 clients.

Key metric	Value
Target clients (Year 1)	35
Debtor accounts under management	7,000
Monthly collections fee per client	£1,500
Recovery fee	5% of debt (min £75, max £299)
Annual revenue	£683,400
Annual costs	£164,280
Annual profit	£519,120
Gross margin	76%
Breakeven	8 clients

2. The proposition

2.1 The problem

UK SMEs lose £26 billion annually to late payments (Department for Business and Trade, July 2025). 14,000 businesses close each year directly attributable to cashflow problems caused by unpaid invoices. Yet most SMEs cannot afford a dedicated credit controller (£28-35k salary), and outsourced credit control agencies charge commission-based fees of 10-25% that are unpredictable and incentivise the agency to prioritise large debts over small ones.

The result: invoices go unchased, cashflow deteriorates, and by the time the SME engages a debt recovery agent, the debts are aged, relationships are damaged, and recovery rates are poor. The UK average debt recovery rate is approximately 40%.

2.2 The solution

A fully managed credit control service powered by Qashivo's AI technology. Charlie, the AI collections agent, handles the systematic work: generating contextual communications, managing escalation, extracting debtor intent, tracking payment promises, and maintaining compliance. Human operators provide quality oversight, route exceptions to clients, execute client instructions, and manage the client relationship.

2.3 Why this works

AI handles volume: Charlie processes hundreds of debtors daily with mathematical consistency. Every debtor is contacted systematically. No one falls through the cracks.

Humans handle judgment: Exceptions, disputes, VIP accounts, and relationship-sensitive decisions are routed to the client for instruction. The SA team packages the situation with context and executes the client's decision.

South Africa handles cost: Operating from South Africa at 25% of UK staffing costs means the service is priced competitively against hiring internally, while delivering AI-augmented quality that exceeds what a single credit controller could achieve.

Fixed pricing handles trust: No commission on collections, no hidden fees. A flat monthly rate per debtor for collections, and a transparent 5% capped fee for recovery. Completely predictable.

3. Three-tier service model

3.1 Tier 1: AI-managed collections

Included in the monthly fee. Covers 85-90% of all debtor accounts.

Charlie handles the full collections lifecycle from first contact through escalation. The AI decision tree evaluates every debtor on each planning cycle and determines who to contact, when, via which channel, at what tone. The LLM generates unique, contextual communications using a rich conversation brief that includes the full interaction history with each debtor.

Capability	Detail
Pre-due-date nudge	Courtesy reminder 7 days before due date for invoices over £1,000
Phase 1: Inform (0-5 days overdue)	Gentle nudge. No response required. One contact maximum.
Phase 2: Elicit (5+ days overdue)	Every message asks for a payment date. Systematic follow-up.
Five-tone escalation	Friendly → Professional → Firm → Formal → Legal. One step at a time.
Multi-channel	Email (primary), SMS nudge, AI voice calls
Intent extraction	Inbound replies analysed for dates, amounts, disputes, sentiment
Promise tracking	Payment arrangements detected, confirmed, tracked, and followed up
Compliance engine	Every outbound communication checked against rules before delivery
Conversation memory	Rich brief ensures Charlie never contradicts or repeats itself

3.2 Tier 2: Pre-legal escalation

Included in the monthly fee. Handles debts that reach Formal/Legal tone.

For debts that have exhausted normal escalation, Charlie issues a formal final notice and opens a 30-day statutory response window in compliance with the UK Late Payment of Commercial Debts Act. The SA team monitors the window. If the debtor responds with payment or an arrangement, the case is resolved. If silence, the case is automatically packaged for Tier 3 with the complete audit trail.

The case file delivered to Tier 3 includes: every outbound communication with timestamps, every debtor response with extracted intent, all broken promises documented, Companies House company status and risk data, contact details verified, and statutory notices served with delivery confirmation.

3.3 Tier 3: Recovery

5% of the outstanding debt, minimum £75, maximum £299. Covers up to two formal solicitor letters.

Cases that exhausted Tier 1 and Tier 2 are referred for formal recovery. A panel solicitor issues a Letter Before Action (LBA) and, if required, a follow-up letter. The pricing is 5% of the outstanding amount, with a £75 minimum to cover costs on small debts and a £299 maximum regardless of debt size. This eliminates the commission-based incentive misalignment that plagues traditional debt recovery.

Recovery fee examples

Debt size	Our fee (5%, £75 min, £299 max)	Recovery agent (15%)	Client saving
£500	£75 (minimum)	£75	£0 (parity, but debt actually gets pursued)
£1,000	£75 (minimum)	£150	£75 (50%)
£2,000	£100	£300	£200 (67%)
£5,000	£250	£750	£500 (67%)
£6,000+	£299 (cap)	£900+	£601+ (67%+)
£10,000	£299	£1,500	£1,201 (80%)
£25,000	£299	£3,750	£3,451 (92%)
£50,000	£299	£7,500	£7,201 (96%)
£100,000	£299	£15,000	£14,701 (98%)

Below the cap, the client saves approximately 67% versus a 15% commission agent on every debt. Above the cap, the saving increases dramatically — 92% on a £25,000 debt, 98% on a £100,000 debt. The bigger the debt, the more obvious the decision becomes.

What Tier 3 includes

The recovery fee covers the complete AI-generated case file, case packaging by the SA team, and up to two formal solicitor letters (Letter Before Action plus one follow-up). Approximately 85% of recoverable cases resolve within these two letters when preceded by a well-documented AI collections history.

For cases requiring court proceedings — which are rare when Tier 1 and 2 have been thorough — the client is consulted before any further action. Court fees and additional solicitor costs are passed through at cost with a transparent £150 management fee. The client always decides whether to proceed.

Recovery scope summary

Recovery stage	Included in fee?	Detail
AI case file generation	Yes	Complete audit trail, communication history, debtor intelligence
Case packaging and referral	Yes	SA team prepares and submits to panel solicitor

Letter Before Action	Yes	First formal solicitor letter
Follow-up letter (14 days later)	Yes	Second solicitor letter if no response
Court proceedings	No — client decides	Court fees + solicitor at cost + £150 management fee
Enforcement (bailiffs, earnings order)	No — client decides	Enforcement costs at cost + £150 management fee

Recovery cost structure (internal)

Cost component	Per case	Notes
Panel solicitor — Letter Before Action	£65	Fixed fee arrangement
Panel solicitor — follow-up letter	£45	If required (30% of cases)
SA team case packaging	£3	15 minutes at SA rates
Qashivo AI case summary	£0.15	Automated generation
Average total cost per case	£95	Blended including follow-up letters
Average fee received per case	£179	Blended across all debt sizes
Blended margin per case	47%	

Case outcome distribution

Outcome	% of Tier 3 cases	Our cost	Notes
Settles on first letter	70%	£69	LBA + packaging only
Settles on second letter	15%	£114	LBA + follow-up + packaging
Does not settle (referred back to client)	10%	£189	Both letters sent, client decides next steps
Court proceedings (pass-through)	5%	£0 + £150 mgmt fee	All costs transparent to client

4. Operating model

4.1 Technology platform

The JV operates on the Qashivo platform, licensed from Nexus KPI Limited at a commercial wholesale rate.

Component	Function
Charlie (AI collections agent)	Generates all debtor communications, manages escalation, extracts intent from replies
Decision tree engine	Deterministic rules engine deciding who to contact, when, via which channel, at what tone
Conversation brief service	Assembles full interaction history before every LLM call. 15 recent interactions, active commitments, debtor intelligence.
Compliance engine	Checks every outbound communication against configurable rules
Riley (AI assistant)	In-app assistant for operators and clients. Weekly CFO review generation.
Action Centre	Approval queue, activity feed, exception routing, VIP management
Dashboard	Real-time AR summary, ageing analysis, DSO tracking, debtor treemap
Xero integration	Automatic invoice sync from client accounting systems

4.2 Division of responsibilities

Task	Handled by	Detail
Generate debtor communications	Charlie (AI)	Every email, SMS, and voice script uniquely generated with full context
Approve outbound communications	SA team	Review and approve in Action Centre. 1-2 minutes per action.
Route exceptions to client	SA team	Package exception with context and AI analysis. Client instructs.
Execute client instructions	SA team	Update settings, pause debtors, change approach per client direction
Resolve disputes	Client	Client decides on dispute resolution. SA team executes.
VIP and relationship decisions	Client	Client flags sensitive accounts. Charlie respects VIP status.
Payment plan approval	Client	Client approves terms. SA team and Charlie manage ongoing.
Weekly client check-in	SA team	15-minute call covering AR summary, actions taken, exceptions raised
Monthly performance report	Riley (AI)	Auto-generated with DSO trend, collection rate, debtor activity

Debt recovery referral	SA team + solicitor	Case packaged by SA team, LBA issued by panel solicitor

The SA team does not resolve exceptions or make relationship decisions. They triage, package with context, and route to the client. The client makes the judgment call. The SA team executes. This dramatically reduces the skill level and time required per client, increasing capacity.

5. Capacity and staffing

5.1 Daily workload per client (200 debtors)

Task	Time	Frequency
Review and approve outbound emails (~30 per day)	45 minutes	Daily
Route exceptions to client with context	15 minutes	Daily
Execute client instructions from previous day	10 minutes	Daily
Weekly check-in call preparation	5 minutes	Daily (amortised)
Ad hoc client queries	5 minutes	Daily average
Total daily time per client	80 minutes	

5.2 Staff capacity

Parameter	Value
Productive hours per person per day	7 hours (allowing for breaks and admin)
Minutes per client per day	80
Clients per SA credit controller	5
7 SA credit controllers	35 clients
Stretch capacity (experienced team)	38-40 clients

5.3 Staffing model

Role	Location	UK equivalent	Actual cost	Annual loaded
Credit controller 1-7	South Africa	£30,000 each	25% of UK	£7,500 each
Operations manager	UK (remote)	£38,000	Full UK cost	£38,000
Part-time finance manager	South Africa	£20,000	25%, 0.5 FTE	£2,500
Total staff cost				£93,000

5.4 Scaling the team

Team size	SA controllers	Client capacity	Incremental cost	Incremental revenue
Launch team	7	35	—	—
First expansion	9	45	£15,000/year	£180,000/year
Second expansion	11	55	£15,000/year	£180,000/year

Each additional pair of SA credit controllers at £15,000/year generates approximately £180,000 in additional annual revenue from 10 new clients. A 12:1 return on the incremental hire.

6. Pricing strategy

6.1 Managed collections pricing

Component	Price	Basis
Per debtor per month	£7.50	Fixed rate regardless of debtor size or complexity
200 debtors (typical client)	£1,500/month	£18,000/year
100 debtors (small client)	£750/month	£9,000/year
300 debtors (larger client)	£2,250/month	£27,000/year
Minimum monthly fee	£500	Ensures viability for small accounts

6.2 Recovery pricing

5% of the outstanding debt amount, with a £75 minimum and £299 maximum. Covers the complete AI case file, case packaging, and up to two formal solicitor letters. Court proceedings, if required, are passed through at cost with a £150 management fee — client always decides before any court action is taken.

6.3 Competitive positioning

Alternative	Typical annual cost	JV cost (200 debtors)	JV advantage
Part-time credit controller (UK)	£15,000-18,000	£18,000	Comparable cost + AI quality
Full-time credit controller (UK)	£30,000-44,000	£18,000	50-60% cheaper + consistency
Outsourced credit control (commission)	£15,000-30,000 + unpredictable	£18,000 fixed	Predictable pricing
Debt recovery agent (15% commission)	£300-500 per case (variable)	5% capped at £299 per case	67-98% cheaper per case
Do nothing (internal)	FD time + cashflow damage	£18,000	Frees FD time, improves DSO

6.4 The debt recovery saving pitch

For clients currently using debt recovery agencies, the cost comparison is stark. A client referring 20 debts per month to a recovery agent at 15% commission on an average £2,000 debt spends £6,500/month in recovery fees and instruction costs. Recovery rates average 40%.

With the JV service at £1,500/month plus 5% capped recovery fees, most debts never reach the recovery stage because Charlie intervened systematically from day one.

"We charge 5% capped at £299. Your current agent charges 15% with no cap. On a £25,000 debt, that's £299 versus £3,750. And unlike your current agent, we've already been chasing

that debt systematically for 60 days with AI before it even reaches recovery — so most debts never get here in the first place."

7. Financial projections

7.1 Cost base (35 clients, 200 debtors each)

Cost item	Monthly	Annual	Notes
SA credit controllers (7)	£4,375	£52,500	25% of UK equivalent
Operations manager (UK)	£3,167	£38,000	Full UK cost, remote
Part-time finance manager (SA)	£208	£2,500	0.5 FTE at SA rates
Office space (SA, 8-9 desks)	£1,000	£12,000	Small office in SA
Insurance	£417	£5,000	Professional indemnity + business
IT, telecoms, software	£417	£5,000	Laptops, internet, tools
Qashivo platform license	£3,465	£41,580	35 x £99/month wholesale
Panel solicitor retainer	£200	£2,400	Minimum commitment
Miscellaneous	£400	£4,800	Travel, training, contingency

7.2 Projection: Year 1 ramp-up

Month	Clients	Monthly revenue	Monthly costs	Monthly profit	Cumulative
1-2	5	£8,770	£10,530	-£1,760	-£3,520
3-4	10	£16,540	£11,025	£5,515	£7,510
5-6	15	£24,310	£11,520	£12,790	£33,090
7-8	20	£32,080	£12,015	£20,065	£73,220
9-10	25	£39,850	£12,510	£27,340	£127,900
11-12	30	£47,620	£13,005	£34,615	£197,130

Revenue includes estimated recovery fees based on 5% of debtors reaching Tier 3 annually, blended average fee £179 per case.

Year 1 total profit (ramp-up): £197,130

Breakeven point: Month 2-3 (8 clients)

7.3 Projection: Year 2 steady state (35 clients)

Revenue stream	Monthly	Annual
Managed collections (35 x £1,500)	£52,500	£630,000
Recovery fees (~30 cases/month x £179 avg)	£4,450	£53,400
Total revenue	£56,950	£683,400

Cost item	Monthly	Annual
SA staff (7 + 0.5 finance)	£4,583	£55,000
Operations manager	£3,167	£38,000
Office, insurance, IT	£1,834	£22,000
Qashivo license (35 x £99)	£3,465	£41,580
Solicitor fees (~30 cases x £95 avg)	£2,375	£28,500
Miscellaneous	£400	£4,800
Total costs	£13,690	£164,280 (exc. solicitor)

Profitability	Monthly	Annual
Gross profit	£43,260	£519,120
Gross margin	76%	
50% JV share (each partner)	£21,630	£259,560
Plus: Qashivo license to Nexus KPI	£3,465	£41,580
Total Nexus KPI take	£25,095	£301,140

7.4 Projection: Year 3 expansion (48 clients, 9 SA staff)

Metric	Monthly	Annual
Revenue (collections + recovery)	£76,080	£912,960
Costs (9 SA staff + all overheads)	£17,500	£210,000
Gross profit	£58,580	£702,960
Gross margin	77%	
Nexus KPI total take (50% + license)	£32,039	£384,468

8. AI operational costs at scale

A key question for any AI-powered business is whether the technology costs scale sustainably.

8.1 JV scale (35 clients, 7,000 debtors)

At 35 clients with 200 debtors each, Qashivo manages 7,000 debtor accounts. The decision tree filters approximately 85% on each cycle, leaving roughly 1,050 eligible for action, translating to about 350 LLM calls per day.

Call type	Model	Daily volume	Daily cost
Outbound email generation	Claude Sonnet	350	£2.36
SMS nudge generation	Claude Haiku	88	£0.02
Intent extraction (inbound)	Claude Haiku	70	£0.02
Riley conversations	Claude Sonnet	18	£0.12
Weekly CFO reviews	Claude Sonnet	5	£0.07
Total daily AI cost			£2.59
Total monthly AI cost			£77.70
Total annual AI cost			£945

AI costs at JV scale are negligible — under £80/month. This is covered within the Qashivo platform license fee (£99/client/month) with substantial margin.

8.2 Full platform scale (4,000 tenants, 400,000 debtors)

At the Qashivo platform's target scale of 4,000 self-serve tenants with 100 debtors each, AI costs remain under 1% of revenue even with rich conversation briefs (800 tokens, 15 interactions per debtor).

Call type	Daily volume	Daily cost	Monthly cost
Outbound emails (Sonnet)	20,000	£181	£5,430
SMS nudges (Haiku)	5,000	£1	£30
Intent extraction (Haiku)	4,000	£2	£45
Riley conversations (Sonnet)	2,000	£21	£640
Weekly reviews (Sonnet)	571	£11	£325
Other (intelligence, audit)	21,000	£4	£100
Total		£220	£6,570

Monthly AI cost at full scale: £6,570

Monthly revenue at full scale: £796,000 (4,000 x £199 ARPU)

AI cost as percentage of revenue: 0.83%

8.3 Why rich briefs are non-negotiable

The rich conversation brief (800 tokens, 15 interactions) transforms Charlie from a mail merge into a credit controller. Reducing the brief from 800 to 300 tokens would save approximately £2,000/month at 4,000 tenants — 0.25% of revenue. The quality degradation would be catastrophic relative to this saving.

The correct cost lever is the decision tree, not the brief. The tree eliminates LLM calls entirely for debtors who don’t need contact. Improving the HOLD rate from 85% to 90% saves more than halving the brief size, with zero quality impact.

9. Comparison: human workforce vs JV managed service

Both models compared at identical scale: 35 clients with 200 debtors each, totalling 7,000 debtor accounts under management.

9.1 Option A: UK human workforce

Hiring credit controllers in the UK to manage 7,000 debtor accounts using conventional credit control software. Industry standard capacity is 200 accounts per credit controller.

Headcount requirement

Role	Count	Basis
Credit controllers	35	200 accounts each (CICM benchmark)
Team leaders	4	1 per 8-9 controllers
Credit control manager	1	Overall department management
Administrator	1	Invoicing, reporting, office support
Total headcount	41	

Per credit controller: fully loaded annual cost

Cost element	Annual	Notes
Base salary	£30,000	UK average credit controller, outside London
Employer National Insurance (13.8%)	£2,884	13.8% on earnings above £9,100 threshold
Auto-enrolment pension (3% employer)	£900	Statutory minimum employer contribution
Holiday pay	Included	28 days statutory, cost built into salary
Holiday cover (temp/agency)	£1,200	5.4 weeks absence requires cover on critical accounts
Statutory sick pay provision	£400	Average 6.4 sick days/year (ONS), SSP + productivity loss
Private healthcare (basic)	£600	Optional but common in competitive hiring market
Recruitment costs	£1,500	25% industry turnover x £6,000 per hire, amortised annually
Training and development	£750	CICM courses, ongoing CPD, internal training time
Office space (desk, utilities, facilities)	£3,500	Shared office outside London
IT equipment (laptop, phone, software)	£1,500	Annual depreciation + licenses
Credit control software licenses	£600	Per-seat CRM/collections tool
Total per credit controller (loaded)	£43,834	

Management and support layer

Role	Base salary	Loaded cost (x1.35)	Count	Total
Team leader	£38,000	£51,300	4	£205,200
Credit control manager	£50,000	£67,500	1	£67,500
Administrator	£25,000	£33,750	1	£33,750
Total management layer			6	£306,450

Total Option A cost

Cost category	Annual
35 credit controllers (fully loaded)	£1,534,190
Management and support layer	£306,450
Office fit-out (amortised over 3 years)	£15,000
Employer liability insurance	£8,000
Facilities, cleaning, consumables	£12,000
Total annual cost (Option A)	£1,875,640
Total monthly cost	£156,303
Cost per debtor per month	£22.33
Cost per client per month (200 debtors)	£4,466

9.2 Option B: JV managed service (Qashivo + SA team)

AI-powered credit control via the Qashivo platform with South African operators providing human oversight, exception routing, and client liaison.

SA staffing requirement at 200 debtors per client

Parameter	Value
Debtors per client	200
Decision tree HOLD rate	85% (170 filtered, 30 need action per day)
Daily tasks per client	~30 approvals + exception routing + client instructions
Time per client per day	80 minutes
SA controller capacity (7 productive hours)	5 clients each
Controllers needed for 35 clients	7

Total Option B cost

Cost category	Annual
SA staff (7 controllers + 0.5 finance manager)	£55,000
Operations manager (UK)	£38,000
SA office space (8-9 desks)	£12,000
Insurance (professional indemnity + business)	£5,000
IT, telecoms, software	£5,000
Qashivo platform license (35 x £99/month)	£41,580
AI operational costs (inference)	£945
Panel solicitor retainer	£2,400
Miscellaneous (training, travel, contingency)	£4,355
Total annual cost (Option B)	£164,280
Total monthly cost	£13,690
Cost per debtor per month	£1.96
Cost per client per month (200 debtors)	£391

9.3 Direct comparison

Both options at identical scale: 35 clients, 200 debtors each, 7,000 total debtor accounts.

Metric	Option A: UK workforce	Option B: JV managed	Difference
Total headcount	41	8.5	79% fewer people
Annual cost	£1,875,640	£164,280	91% cheaper
Monthly cost	£156,303	£13,690	91% cheaper
Cost per debtor per month	£22.33	£1.96	91% cheaper
Cost per client per month	£4,466	£391	91% cheaper
Recruitment risk (25% turnover)	10 hires/year at £6k each	1-2 hires/year at £1k each	96% lower
Office space required	41 desks (UK rates)	9 desks (SA rates)	85% cheaper
Management layers	3 (controllers, leaders, manager)	1 (ops manager)	Simpler
Consistency of follow-up	Variable (human factors)	100% (AI-driven)	Higher quality
Communication quality	Varies by individual skill	LLM-generated with full context	Higher quality
Scalability (add 5 clients)	Hire 5 people (£220k)	Hire 1 SA (£7.5k)	97% cheaper
Staff absence impact	Accounts go unchased	Charlie continues, SA covers	Resilient
Knowledge retention	Walks out the door	Permanent in Qashivo	Retained

9.4 Annual saving

Annual cost saving: £1,711,360 (£1,875,640 - £164,280)

Saving as percentage: 91.2%

Monthly saving: £142,613

The JV managed service delivers credit control for 7,000 debtor accounts at £164,280 per year — less than the fully loaded cost of four UK credit controllers. The remaining 31 credit controllers, 4 team leaders, credit manager, and administrator are replaced entirely by Qashivo's AI and 7 South African operators.

10. JV structure

10.1 Entity and ownership

Element	Detail
JV entity	New UK limited company
Ownership	50% Nexus KPI Limited / 50% Operating Partner
Nexus KPI contribution	Qashivo technology platform (licensed, not assigned)
Partner contribution	Client acquisition, SA operations, ops manager
IP ownership	All Qashivo IP remains with Nexus KPI. JV has license only.

10.2 Revenue flows

1. Qashivo license fee (£99/client/month): Paid by the JV to Nexus KPI for each client. Arms-length commercial revenue that preserves SaaS valuation multiples.

2. 50% profit share: Nexus KPI's share of distributable profit after all costs including the license fee.

10.3 Key legal provisions

Provision	Detail
Deadlock resolution	Required in shareholders' agreement. Mechanisms: mediation, then put/call option.
IP protection	Qashivo IP irrevocably owned by Nexus KPI. License terminates if JV dissolves.
Non-compete	Partner cannot offer competing AI credit control service outside the JV.
GDPR compliance	UK personal data processed in SA requires Standard Contractual Clauses.
Data processing agreement	Required between JV (controller) and Nexus KPI (processor).
Debt collection licensing	JV may require FCA authorisation or Consumer Credit Licence.
Exit provisions	Nexus KPI has first right of refusal on partner's shares.

11. Target client profile

Characteristic	Ideal client
Company size	10-250 employees (small to medium)
Annual turnover	£1m-25m
Debtor count	100-300 active debtors
Industry	B2B services, construction, recruitment, professional services, wholesale
Current credit control	No dedicated person, or part-time bookkeeper doing chase calls
Accounting platform	Xero (primary), QuickBooks (secondary)
Pain indicator	Growing overdue book, frequent use of debt recovery agents
Decision maker	Finance director, MD, or owner-manager

11.1 Qualifying questions

The most powerful qualifying question is: "How much did you spend on debt recovery last year?" If the answer is over £5,000, the client is pre-qualified.

Secondary qualifiers: "Who chases your invoices today?", "What’s your average debtor days?", and "How many invoices went to a recovery agent last year?"

12. Distribution: accounting firm channel

Accounting firms are the natural distribution channel. The firm knows which clients have credit control problems, has a trusted advisory relationship, and benefits from their clients' improved cashflow.

12.1 Accounting firm incentive

Incentive model	Value	Notes
Referral commission	£100 per client onboarded	One-time payment
Ongoing trail	10% of monthly fee	£150/month per client for life of relationship
Annual value per referral	£1,900+ per client	Commission + 12 months trail
10 referrals	£19,000+/year	Meaningful additional revenue for the firm

At £150/month per client, a firm with 10 referrals earns £1,500/month (£18,000/year) in passive income. The 10% trail is funded from the JV's margin.

13. Competitive advantage

Dimension	Traditional outsourced	JV managed service
Communication quality	Templates or junior staff	LLM-generated with full conversation context
Consistency	Varies by individual	100% systematic, compliance-checked
Conversation memory	Individual's notes	15 interactions of structured history per debtor
Collections pricing	Commission-based (10-25%)	Fixed per debtor, predictable
Recovery pricing	15% commission, no cap	5% capped at £299
Small debt handling	Deprioritised or ignored	Every debt pursued equally
Recovery case file	Manual notes	Complete AI-generated audit trail
Scalability	Hire more UK staff	Add SA controllers at 25% of UK cost
Client reporting	Monthly spreadsheet	Real-time dashboard + AI weekly review
Technology moat	Generic CRM	Proprietary AI with cross-tenant learning

14. Risk and mitigation

Risk	Impact	Mitigation
Client acquisition slower than projected	Delayed breakeven	Breakeven at 8 clients achievable in 2-3 months. Fixed costs are low.
AI generates inappropriate content	Reputational damage	Compliance engine + semi-auto mode + SA team review before send.
SA staff quality or turnover	Service disruption	Qashivo handles complex work. SA role is oversight. Training is days, not months.
GDPR compliance for SA processing	Regulatory risk	Standard Contractual Clauses. Data processing agreement. Legal advice required.
Xero API changes	Platform dependency	Multi-platform abstraction layer built. QuickBooks ready as fallback.
Competitor replication	Margin pressure	CIE data asset compounds with scale. 12-18 month head start.
Panel solicitor issues	Recovery tier disrupted	Multiple panel firms. LBA is standardised. Replaceable within days.
Recovery losses on small debts	Margin erosion	£75 minimum fee covers costs. Portfolio blends to 47% recovery margin.
JV partner disagreement	Operational paralysis	Shareholders' agreement with deadlock provisions.

15. Strategic value to Qashivo

1. Proving ground. Every JV client is a live Qashivo deployment generating real DSO improvement data. 35+ active deployments with measured outcomes for the acquisition conversation.

2. SaaS metrics generation. The Qashivo license fee (£99/client/month) is recurring technology revenue on Nexus KPI's books. 35 clients = £41,580/year in license revenue contributing to ARR.

3. CIE data accumulation. 35 clients with 7,000 debtors generating thousands of communication-outcome pairs per month. The Collective Intelligence Engine accumulates real cross-tenant data.

4. Upgrade pathway. JV clients who outgrow the managed service become candidates for self-serve Qashivo at £199/month. The JV proves the value, the platform captures the relationship long-term.

The JV generates meaningful profit from day one while building the customer base, data asset, and track record that Nexus KPI needs for a successful acquisition. It bridges the gap between "we have technology" and "we have a proven business."

Confidential — not for distribution without prior consent